

GROUP AND COMPANY AUDITED RESULTS FOR THE YEAR ENDED 31 DECEMBER 2019

ABRIDGED CONSOLIDATED AND SEPARATE STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2019

	Group 2019 KShs'000	Group 2018 KShs'000	Company 2019 KShs'000	Company 2018 KShs'000
Turnover	1,585,203	1,631,058	1,460,868	1,385,598
Cost of sales	(1,081,676)	(1,155,959)	(960,253)	(923,126)
Gross profit	503,527	475,099	500,615	462,472
Other income	1,512,696	61,892	1,319,881	61,892
Expenses	(685,837)	(596,989)	(544,599)	(440,424)
Profit / (loss) before depreciation, impairment and finance costs	1,330,386	(59,998)	1,275,897	83,940
Impairment (loss) / writeback on trade receivables and contract assets	(137,489)	70,082	(85,274)	35,927
Depreciation and amortization	(267,756)	(286,686)	(196,664)	(213,309)
Results from operating activities	925,141	(276,602)	993,959	(93,442)
Interest expense	(270,198)	(510,720)	(239,815)	(476,736)
Exchange gains / (losses)	3,752	(25,767)	12,933	10,089
Profit / (loss) before income tax	658,695	(813,089)	767,077	(560,089)
Income tax (expense) / credit	(27,723)	244,705	(39,147)	160,394
Profit / (loss) for the year	630,972	(568,384)	727,930	(399,695)
Other comprehensive income				
<i>Items that will never be reclassified to profit or loss</i>				
Re-measurement gain/ (loss) on retirement benefit plan	3,483	1,903	2,256	(1,107)
Deferred tax effect on remeasurement gain/ (loss)	(1,045)	(571)	(677)	332
Revaluation of property, plant and equipment	-	226,833	-	226,833
Revaluation of prepaid operating leases	-	248,485	-	248,485
Deferred tax on revaluation surplus	-	(142,596)	-	(142,596)
	2,438	334,054	1,579	331,947
<i>Items that that are or may be reclassified to profit or loss</i>				
Foreign currency translation differences on foreign operations	(5,174)	(30,593)	-	-
Total other comprehensive income	(2,736)	303,461	1,579	331,947
Total comprehensive income for the year	628,236	(264,923)	729,509	(67,748)
Profit / (loss) for the year attributable to:				
Owners of the company	678,483	(485,773)	727,930	(399,695)
Non-controlling interest	(47,511)	(82,611)	-	-
	630,972	(568,384)	727,930	(399,695)
Total comprehensive income attributable to:				
Owners of the company	676,786	(168,003)	729,509	(67,748)
Non-controlling interest	(48,550)	(96,920)	-	-
	628,236	(264,923)	729,509	(67,748)
Basic and diluted earnings per share	2.68	(1.92)		

KShs

ABRIDGED CONSOLIDATED AND SEPARATE STATEMENTS OF FINANCIAL POSITION AS AT 31 DECEMBER 2019

	Group 2019 KShs'000	Group 2018 KShs'000	Company 2019 KShs'000	Company 2018 KShs'000
Assets				
Non-current assets	5,020,678	5,469,516	3,531,027	3,889,411
Current assets	1,147,199	1,134,144	1,253,420	1,164,830
Assets held for sale	107,000	-	107,000	-
Total assets	6,274,877	6,603,660	4,891,447	5,054,241
Equity and liabilities				
Share capital	126,563	126,563	126,563	126,563
Reserves	1,727,011	1,050,225	1,572,447	842,938
Non-controlling interest	275,930	324,480	-	-
Non-current liabilities	2,397,642	702,010	2,030,477	665,885
Current liabilities	1,747,731	4,400,382	1,161,960	3,418,855
Total equity and liabilities	6,274,877	6,603,660	4,891,447	5,054,241

ABRIDGED CONSOLIDATED AND SEPARATE STATEMENTS OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2019

	Group 2019 KShs'000	Group 2018 KShs'000	Company 2019 KShs'000	Company 2018 KShs'000
Cash generated from operations	87,196	312,138	88,889	343,602
Income taxes paid	-	(862)	-	-
Cash generated from operating activities	87,196	311,276	88,889	343,602
Cash used in investing activities	(2,725)	(3,895)	(2,725)	(1,328)
Cash used in financing activities	(30,367)	(359,744)	(30,422)	(379,701)
Net increase / (decrease) in cash and cash equivalents	54,104	(52,363)	55,742	(37,427)
Cash and cash equivalents at 1 January	166,650	219,494	15,871	53,779
IFRS 9 Day 1 adjustment	-	(481)	-	(481)
Cash and cash equivalents at 31 December	220,754	166,650	71,613	15,871

ABRIDGED CONSOLIDATED AND SEPARATE STATEMENTS OF CHANGES IN EQUITY AS AT 31 DECEMBER 2019

	Group 2019 KShs'000	Group 2018 KShs'000	Company 2019 KShs'000	Company 2018 KShs'000
Share capital	126,563	126,563	126,563	126,563
Share premium	545	545	545	545
Revaluation reserves	2,045,342	2,045,342	1,398,665	1,398,665
Revenue reserves	(200,466)	(880,966)	173,237	(556,272)
Exchange reserves	(118,410)	(114,696)	-	-
Total equity attributable to equity holders of company	1,853,574	1,176,788	1,699,010	969,501
Non-controlling interest	275,930	324,480	-	-
Total Equity	2,129,504	1,501,268	1,699,010	969,501



Commentary

East African Cables PLC (“Group and Company”) is pleased to release audited financial statements for the year ended 31st December 2019. The Group and Company recorded profit after tax of KShs 631 million and KShs 728 million respectively, a marked growth from losses recorded in 2018. This improvement is attributed to sustained focus on the turn-around strategy. In partnership with key stakeholders, significant milestones have been achieved including completion of debt restructure thereby strengthening the balance sheet and matching cash outflows to the profit generated from operations. The debt restructure resulted in savings on interest expense and discount on debt which contributed to the profit recorded in the year.

Improved efficiency in our conversion process and implementation of cost saving initiatives improved our gross profit margin by 3%.

In the year under review, the copper and aluminium London Metal Exchange (LME) prices decreased by 9% and 16% respectively, allowing the business to pass the benefit to customers through affordable pricing of our products.

Dividend

The directors do not recommend payment of a dividend.

Outlook

On a positive note, changes in tax laws in April 2020, that have been enacted by the Government of Kenya (GOK) to cushion businesses from the effects of the COVID-19 pandemic will make our products cheaper to the final consumer due to reduction in Value Added Tax (VAT) from 16% to 14%, our employees disposable income will expand and corporation tax will decrease from 30% to 25%. These changes, among others, create a favourable environment for our business to fully implement its strategy for growth and sustained profitability.

The strides made in implementing the turnaround strategy are significant, however the effects of COVID-19 pandemic have impacted the business environment following restrictions on movement and reduced working hours that have been in place. These containment measures have affected our productivity. The risks arising from this pandemic include market contraction, services and supply chain disruptions, unavailability of key human resources, locations being quarantined, among others. The pandemic will therefore have a negative impact on the current year performance.

By Order of the Board

Virginia Ndunge

Company Secretary

Nairobi,

23rd July 2020

The above results are extracted from the consolidated financial statements of East African Cables PLC for the year ended 31st December 2019, as audited by KPMG Kenya, Certified Public Accountants and on which an unqualified opinion has been given.